

NOVA RETAIL GROUP

Executive Management Report

SQL Sales Analysis | 2023–2024

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Tools: Databricks SQL and GitHub

1. Executive Summary

This report summarises the SQL-based analysis of Nova Retail Group's sales, customer behaviour, discounting and product performance. The analysis was performed in Databricks SQL and focused on converting transactional data into management-level insights and practical recommendations.

2. Overall Business Performance

The analysis indicates total revenue of R16,878,317.40 and total profit of R5,915,087.40 for the analysed 2023–2024 period. This represents an overall profit margin of 35.05%. The project dataset contains 2,500 sales transactions and 500 customer records, with an average order value of R6,751.33.

Key Metric	Result
Total Revenue	R16,878,317.40
Total Profit	R5,915,087.40
Overall Profit Margin	35.05%
Total Orders	2,500
Total Customers	500
Average Order Value	R6,751.33

3. Top Three Business Insights

3.1 Customer Satisfaction vs. Repeat Purchases

Satisfaction Group	Customers	Average Orders per Customer
Less Satisfied (1–3)	185	5.54
Highly Satisfied (4–5)	252	5.04

Highly satisfied customers form the larger customer group, with 252 customers compared with 185 less-satisfied customers. However, less-satisfied customers have a higher average order frequency of 5.54 orders per customer versus 5.04 for highly satisfied customers. This indicates that purchase frequency does not necessarily correspond directly with satisfaction and that management should investigate why frequent customers continue purchasing despite lower satisfaction.

3.2 Discount Effectiveness

Discount Band	Total Sales	Total Profit	Profit Margin
0%	R7,013,904.00	R2,804,454.00	39.98%
1–10%	R6,196,766.80	R2,190,926.80	35.36%
11–20%	R2,678,319.95	R735,459.95	27.46%

21–30%	R989,326.65	R184,246.65	18.62%
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The analysis shows a clear decline in profitability as discount levels increase. Profit margin falls from 39.98% for non-discounted sales to 18.62% for discounts of 21–30%. Management should therefore use higher discounts selectively and evaluate whether the incremental revenue generated by aggressive promotions justifies the reduction in profit margin.

3.3 Product Portfolio Performance

Product	Units Sold	Revenue	Profit	Margin
Water Bottle	180	R33,422.05	R11,822.05	35.37%
Scented Candles	131	R41,600.80	R14,090.80	33.87%
Yoga Mat	176	R48,991.15	R17,311.15	35.34%
Electric Kettle	107	R50,423.95	R18,323.95	36.34%
Bath Towel Set	117	R64,662.05	R22,542.05	34.86%

The lowest-profit products identified in the analysis maintain margins of roughly 34–36%, suggesting that their weaker contribution is primarily associated with lower sales volume rather than severely weak margins. Management should therefore avoid automatically discontinuing these products and instead test targeted promotion, bundling and improved positioning. The Electric Kettle is a notable example because it combines low unit volume with a relatively strong 36.34% margin.

4. Strategic Recommendations

Investigate frequent-customer dissatisfaction: Analyse the causes of low satisfaction among frequent purchasers, including service quality, product experience and customer support.

Adopt disciplined discounting: Prioritise lower discount bands where commercially appropriate and require stronger justification for discounts above 20%.

Use targeted product promotion: Test targeted promotions and product bundles for low-volume products with healthy margins before considering discontinuation.

Monitor product-level profitability: Use recurring SQL reporting to identify products with high revenue but weak profitability and products with strong margins but low volume.

Maintain data-driven performance monitoring: Continue using SQL-based reporting to monitor revenue, profit, customers, orders and key commercial drivers.

5. Conclusion

The SQL analysis demonstrates that Nova Retail Group has a profitable sales base, but profitability is affected by customer experience and commercial decisions such as discounting. The strongest management opportunity is to balance revenue growth with margin protection while using customer and product-level analysis to guide targeted interventions.

6. Supporting Analysis

The underlying SQL queries are provided separately in `SQL_Sales_Analysis_Project.sql`. Supporting query-result screenshots should be included with the final submission as required by the project brief.